sold to NTPC, etc.), the government announced its decision to privatize two PSBs and one general insurance company in Budget 2021–22 in addition to privatization announced earlier of BPCL, CONCOR, SCI, IDBI Bank and Air India.

In Budget 2021–22, the finance minister also announced a policy for delineating strategic sectors and privatization of public-sector enterprises. Its principal elements are minimizing the number of CPSEs, including financial institutions; strategic sectors to include atomic energy, space and defence; transport and telecommunications; power, petroleum, coal and other minerals; and banking, insurance and financial services; retaining 'bare minimum presence of CPSEs with the rest of CPSEs to be privatized, merged or subsidiarized with other CPSEs or closed' in strategic sectors; and CPSEs to be privatized, else closed, in non-strategic sectors.

These announcements clearly indicate acceptance of the fact that it is time to let the public-sector undertakings go. Though still somewhat timid, the policy is clear on acceptance of privatization of CPSEs as policy. Now, the government must demonstrate the administrative ability to carry out this agenda. If it does so, it might be laying the foundations of Economic Policy 3.0. It will be the 2021 moment.

Consolidating CPSEs Land and Managing it Professionally Will Be Key

Land is the Achilles heel in case of privatization of CPSEs and closure of loss-making CPSEs. The government, despite permitting several CPSEs in the past (IDPL, Air India, BSNL, for example) to sell their land parcels to wipe out/reduce their losses, has not seen any significant sale of land. In fact, most such land sales programmes have come a cropper.

In Budget 2021–22, the government announced monetizing CPSEs' lands by way of direct sale, concession or similar means and to form an SPV with special abilities for this purpose. Formation of a Land